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TAM Capital Compliance Manual

(Internal Use Only)

Approved by: **Board of Directors**
Date: [22/04/2025] (Stamp)

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Glossary:

All phrases and words given in this document refer to definition under, unless word is phrased with another definition.

Item	***Definition***
CMA	Capital Market Authority
CMA regulation	Refer to all implementation regulations and circulars and any instructions issued by CMA.
CMIR	Capital Market Institutions Regulations
Audit Committee	Audit Committee in TAM Capital
DoAM	Delegation of Authority TAM Capital
Chief Compliance Officer	Refer to Head of Compliance Officer and Head of Compliance & AML
Compliance Officer	Refer to Head of Compliance and Head of Compliance & AML
Senior Management	Refer to CEO or Head of Compliance & AML
Board	TAM Capital board of directors
Law	CMA laws and Saudi law in relation to AML.
The Company	TAM Capital
Counterparty	A client who is an authorized person, an exempt person, an institution or a non-Saudi financial services firm.

INTRODUCTION

Purpose

The purpose of this manual is to document the TAM Capital's (hereinafter called as the " TAM Capital " or "**Company**") key obligations with regards to the Capital Market Authority's "CMA" rules and regulations and what derives from these regulations related to a company and its employees, and towards the Company's Customers.

This Manual, apart from the above-mentioned objectives, provides a summary, of the applicable Capital Market Institution Regulation "CMIRs" issued by the Board of Capital Market Authority, for the guidance of employees. The original regulations should be referred to for more details and exact interpretation of compliance requirements.

The word "company" in this manual means: An authorized and registered person at CMA. (A registered person is any natural or legal person recognized as such under the laws of the Kingdom).

Review & Amendments Process

a) The Head of Compliance can suggest modifications to the contents of the manual by amending this manual with track changes, and propose draft of manual with changes to CEO.

b) Proposed amendments will be evaluated and discussed by the CEO, and if endorsed, would be incorporated in the Manual, and passed to Audit committee through Audit Committee secretary.

c) Audit Committee will then review and recommend the amendments to the Board of Directors for their approval or return it back to Head of Compliance for amendment

d) The policy shall be reviewed by the Head of Compliance on a periodic basis and amended if necessary. This policy acts as guidelines for TAM Capital's staff to follow and comply with the regulatory requirements in the Kingdom of Saudi Arabia.

e) The Head of Compliance must document any changes on this policy through record of review minutes using Appendix 2.

Review Cycle

The Head of Compliance shall review this manual at least once every three years and when necessary, and document the review as per Annex 2.0.
Review outcome shoulde be reported to Audit Committee.

Applicability

This policy applies to all activities undertaken by TAM Capital (herein referred to as "The Company"), and to all staff. This policy is intended to focus on TAM Capital's Compliance framework and the rules and regulations issued by the Capital Market Authority.

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Effective Date

This policy & procedure shall be effective from the date of approval.

Scope & Conflicts

This document intended to document TAM Capital policies and procedures in regards to TAM Capital's Compliance function. All policies and procedures stated in this document shall be applied in accordance with relevant CMA regulations and TAM Capital's article of association, by-laws. In case of any contradiction, CMA regulation has the super prevail power, then TAM Capital internal law, until this manual been revised accordingly.

Document Control

This manual will be maintained by the Head of Compliance with a copy to all TAM Capital's staff and board members. Contents of the manual are confidential and are intended for internal use only. Under no circumstances may the contents of this manual be revealed to third parties without the specific written permission of the Chief Executive Officer (CEO).

SUMMARY OF RELEVANT ARTICLES

Compliance with the Regulations and Rules

TAM Capital must comply with the applicable Rules and Regulations and provide to the Authority without delay any information, records or documents that the Authority may require for the purpose of administration of the Capital Market Law and its Implementing Regulations.

The governing body and employees of a company must comply with any requirement issued by the Authority to appear to explain any matter or to assist in any enquiry relating to the administration of the Capital Market Law and its Implementing Regulations.

Fit and Proper Requirements

TAM Capital needs to continue to be 'fit and proper' to carry out the investment business all the time. The keys to fulfillment of this requirement, as per CMIR Article 9, are the skills, experience, competence and integrity of the Company's employees, officers and agents. This is to be assessed with respect to the following criteria:

- Adequacy of qualifications, professional experience, technical knowledge and skills.
- Probity and soundness of judgment commensurate with the position.
- Diligence in discharge of responsibilities and protection of clients' interests.
- Should not have committed an offence involving fraud or dishonesty.
- Should not have contravened or broken any laws governing investment business or protecting investors.

Notification Requirements

TAM Capital must notify the Authority 30 Days in Advance under following cases:

a. The name of the capital market institution or, where the capital market institution is a company, its registered name;

b. Any business name under which the capital market institution carries out securities business in the Kingdom.

c. The address of the head office of the capital market institution, or, if different, the address of the place for service of notices or documents.

TAM Capital must notify the Authority within 7 Days in Advance under following cases:

a. Any change in the material information provided to the Authority on the form of application for registration relating to a registered person's name, good reputation or character. A

registered person must give immediate notice to the compliance officer of the capital market institution of any such changes;

b. If the capital market institution is a company, the formation, acquisition, disposal or dissolution of a subsidiary specifying the subsidiary's name and its principal business;

c. If the capital market institution is not a company, when it acquires or disposes of a holding of more than half in nominal value of the capital of a company or equivalent holding of an unincorporated body, specifying the name of the company or unincorporated body and its principal business; or

d. Any changes in the information originally submitted under the following headings:

- Branch offices in the Kingdom through which the capital market institution carries out securities business;

- Insurance arrangements;

- the countries outside the Kingdom in which the capital market institution carries out securities business indicating whether this is done through a branch office, a subsidiary or otherwise.

- The contracts or arrangements to clear and settle transactions or for custody of client money or client assets.

Further, an **immediate notification** is required on the occurrence of any of the following events:

1. The presentation of a petition for the winding up of the capital market institution or of a company which is a subsidiary or controller of the capital market institution or the summoning of any meeting to consider a resolution to wind up a capital market institution or a company which is a subsidiary or controller of the capital market institution;
2. Any insolvency event;
3. The imposition of disciplinary measures or disciplinary sanctions on the capital market institution in relation to its securities business by any regulatory authority;
4. The conviction of the capital market institution for any offence under legislation relating to banking or other financial services, companies, insolvency, or for any offence involving fraud or any act involving a lack of integrity or dishonesty, or the imposition of any penalties for deliberate zakat or tax evasion;
5. A general partner in a capital market institution becoming a limited partner;
6. The granting or refusal of any application for, or revocation of, authorisation to carry out securities, banking or insurance business in any country or territory outside the Kingdom;
7. The withdrawal or refusal of an application for, or revocation of, membership of an exchange or clearing canter;
8. The appointment of inspectors by an official or regulatory authority to investigate the affairs of the capital market institution;
9. A significant act of misconduct by the capital market institution or any of its registered persons;
10. Any procedural error at the capital market institution that may negatively affect any of its clients' interests;
11. Any matter which would be material to the requirements of the capital market institution, any of its controllers, or any of its registered persons to remain fit and

proper in accordance with the requirements under these Regulations;

12. Any other matter which would be material to the Authority's supervision of the capital market institution or any of its registered persons; or

13. Any material changes to the information previously provided by the capital market institution in any application for registration for one of its employees or prospective employees.

The "CMIRs" further require a **prior written notice** or where the event has already occurred written notice as soon as it becomes aware of: a proposed reorganization or business expansion that could have a material impact on the Company's business, risk profile or resources; entering into or significantly changing a material outsourcing arrangement of an important function; significant failure in the Company's systems or controls; any event resulting in a material change in the Company's capital adequacy or financial resources. (Refer to "CMIRs" Annex 3.2 for notification requirements).

Registrable Functions

Following are the considered functions that must be performed by registered persons:

- CEO or Managing Director;
- Finance Manager;
- Director or Partner;
- Senior Officers or Managers;
- Compliance Officer / MLRO;

No person other than a registered person should perform a registrable function without Authority's prior consent and the following positions have to always be occupied: CEO or Managing Director, Finance Manager, and Compliance Officer. Further, whenever there is a vacancy in these positions, another person should take over that function; but the positions of CEO, Finance Manager and Compliance Officer have to be occupied by different persons separately, unless Authority approves another arrangement. The Compliance Officer should not perform any client function.

TAM Capital shall obtain consent of the person in case the company wants to apply for a registration for registrable functions.

TAM Capital must notify the Authority within (7) days of a registered person ceasing to carry on a registrable function or ceasing to be employed or associated with the Company.

General Conduct of Business

Inducements

TAM Capital should not induce a client to engage in a particular transaction by offering gifts or inducements. Further, it prohibits soliciting or accepting gifts or inducements if that could adversely influence the provision of business to client or create a conflict with a duty that the company owes to the client. The company is also required not to participate or offer to participate in any losses made by a client.

Confidentiality

The information obtained from clients is kept confidential except where the client has consented in writing to its disclosure or it is required by law or is necessary for performance of services to clients or where the information is no longer confidential.

Chinese wall arrangements are written policies and procedures established by the company to secure confidential or inside information obtained in the course of carrying on securities business that are designed to ensure that the information is known only by the company's employees who are authorized to receive it, and to ensure that the information is not disclosed to any other persons.

Exclusions of liability

Any condition providing for the exclusion or restriction of the liability of the company, whether under terms of business or otherwise, should be void if the exclusion or restriction contravenes the company's obligations under the Capital Market Law or the Implementing Regulations.

Advertisements

TAM Capital should be able to show that it has taken reasonable steps to ensure that a securities advertisement is clear, fair and not misleading and complying with the applicable content requirements set out in Annex 5.1 of the CMIRs. If the non-real time securities advertisement is a direct offer securities advertisement then it must contain sufficient information to enable a person to make an informed assessment of the securities or securities activity to which it relates. Further, if the company becomes aware that securities advertisement no longer complying with the conditions provided, it must ensure that the advertisement is withdrawn as soon as possible. The company is required to make an adequate record of each securities advertisement that it has issued, together with any records supporting the confirmation of compliance.

TAM Capital should not make a real time security advertisement unless:

- The recipient has expressly consented to receiving the securities advertisement;
- The recipient has an existing customer relationship with a company and the relationship is such that the recipient envisages receiving such securities advertisements.
- The company is required to ensure that an individual who makes a real time securities advertisement on its behalf, does so in a clear way, fair and not misleading; and does not make any false or misleading statements, and makes clear the purpose (or purposes) of the securities advertisement at the initial point of communication.

TAM Capital should not communicate a securities advertisement relating to a non-retail investment fund or to derivative securities, unless it determines that the securities are suitable for the customer.

Head of Compliance must keep record of all advertisements and checklists attached with each advertisement form, to ensure complying with this Article.

(Refer to the Code of Conduct Manual for more details).

CMA Approval for certain Advertisements

TAM Capital should obtain CMA approval on advertisement related to public real-estate funds before promoting such ad to public as per Article 17 from RealEstate Investment Fund Regulation. This condition is applicable only on advertisements related to public real-estate fund.

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General Requirements for all Securities Advertisements

Advertisement must clearly state that TAM Capital has obtained license# from CMA, and state the legal type of TAM Capital company as Saudi joint stock company and addressing the paid capital.

Following are the general contents for all Securities Advertisement as per Annexure 5.1 of CMIRs:

1. **Clarity of Purpose**: The purpose of the advertisement must be clear.
2. **Clarity of Subject:** The nature or type of securities business and the type of securities being advertised must be clear.
3. **Statement, promises or forecasts**: Any statement, promise or forecast must be fair and not misleading in the form and context in which it appears. If any promise or forecast is based on assumptions, the assumptions must be stated. An advertisement must not forecast the possible future price of securities.
4. **No false or misleading statements**: The advertisement must not include false or misleading statements relating to the securities business, size or resources of TAM Capital or any type of securities.
5. **Name, address and regulatory status**: The advertisement (or the person making the advertisement) must state the name and address of TAM Capital, and that of TAM Capital is authorized by the Authority.

Contents required for Advertisements for Promoting a specific Security or Service

Following are the contents required for Advertisements for Promoting a Specific Security or Service as per Annexure 5.1 of CMIRs:

1. **Guarantees**: The advertisement must not describe a security as guaranteed unless there is a legally enforceable arrangement with a third party who undertakes to meet in full an investor's claim under the guarantee. If so, the advertisement must give details about both the guarantor and the guarantee sufficient for an investor to make a fair assessment about the value of the guarantee.
2. **Comparisons**: Advertisements that compare different securities or services must: 1) be based either on facts verified by of TAM Capital or on assumptions stated within the advertisement; 2) be presented in a fair and balanced way; and 3) not omit anything material to the comparison.
3. **Material Interest**: of TAM Capital must include a statement acknowledging circumstances where it knows that it or its affiliates: 1) has or may have a position or holding in the securities concerned or in related securities; or 2) is providing or has provided within the previous 12 months significant advice or securities business services to the issuer of the securities concerned or of a related security.
4. **Past Performance**: Any information about the past performance of securities or of of TAM Capital that is included in an advertisement must: 1) be a fair representation of the past performance of the securities or of TAM Capital; 2) not be selected so as to exaggerate the performance of the securities or of TAM Capital; 3) state the source of the information; 4) be based on verifiable information; and 5) warn that past performance is not necessarily a guide to future performance.
5. **Zakat and Taxation**: If the advertisement contains any reference to the impact of zakat or taxation, it must: 1) state that the assumed rate of zakat or taxation and any relief; and 2) state that such rates and relief may change over time.
6. **Cancellation Rights**: Any advertisement for securities to which cancellation rights apply must contain details of such rights, including the period within which they may be exercised.

7. **Accurate Number**: Any advertisement for securities performance, must use verifiable public data, and if the numbers used are not public or sourced from third party where receipt cannot verify with, then of TAM Capital must state the source of data the calculation method basis.

Risk Warning for Advertisements of specific Securities

Following are the Risk Warning clauses to be incorporated while advertising for a Specific Security as per Annexure 5.1 of CMIR:

1. **Fluctuations in Value**: Where the securities can fluctuate in price or value, a statement must be made that prices, values or income may fall and, if applicable, a warning that the investor may get back less than he invested.
2. **Suitability**: Where the advertisement contains or refers to a recommendation about a specific security or securities service, a statement must be made warning that it may not be suitable for all recipients of the advertisement and a recommendation that, if they have any doubts, they should seek advice from their investment adviser.
3. **Volatile Securities**: Where the advertisement relates to a security which is a geared security or a contingent liability security, it must state, if it is the case: 1) that the security may be subject to sudden and large falls in value which could cause a loss equal to the amount invested; and 2) that the investor's loss may not be limited to the amount originally invested or deposited, but may have to pay more.
4. **Investment Income**: Where a security is described as being suitable for an investor particularly seeking income from his security, the investor must be warned, if it is the case, that: 1) income from the security may fluctuate; and 2) part of the capital invested may be used to pay that income.
5. **Foreign Currency Denominated Securities**: Where a security is denominated in a foreign currency, the investor must be warned that changes in currency rates may have an adverse effect on the value, price or income of the security.
6. **Illiquid Securities**: An advertisement for an illiquid security must state that it may be difficult: 1) for the investor to sell or realise the security; and 2) to obtain reliable information about its value or the extent of the risks to which it is exposed.
7. **Sales charges and Fees**: 1) if an advertisement relates to a security on which deductions for charges and expenses are made at the time of the initial investment or on the sale of the investment, a warning that such charges apply must be included. 2) If an advertisement relates to a security on which performance fees are charged, a warning that such charges apply must be included.

Accepting Clients

TAM Capital should classify clients into only one of the three categories: retail client, qualified client and institutional client.

TAM Capital should make a record of the classification established for each client including sufficient information to support that classification.

The compliance with obligations under the Anti-Money Laundering Laws and rules and regulations on anti-money laundering and terrorism financing.

TAM Capital should provide a client with terms of business setting out the basis on which securities business is to be conducted with or for the client. Such terms must be provided before conducting any securities business with or for the client (Refer to "CMIRs" Annex 5.2).

The Terms of Business entered into with or for a customer should provide for the following:

1. Commencement the date on which the Terms of Business come into force.
2. Name and address of Authorized Person and their Regulator.
3. Investment objectives of Customer.
4. Restrictions if any
5. The services which the Authorized Person will provide.
6. Payments terms for services.
7. Accounting for transactions.
8. Cancellation rights of customer.
9. Role of Authorized Person (acting as principal or agent).
10. Risk Warnings.
11. Security lending applicability.
12. Termination methods.
13. Customer Complaints Handling.
14. Right to realize customer's assets in case of defaults.
15. Contingent liability securities and basis on which the customer will incur any contingent liability.
16. Details of nay authority to borrow or raise money on the customer's behalf.
17. Special commission arrangements.
18. Custody arrangement.
19. Pooling of customer assets.
20. Details of client assets held overseas.
21. Holding client's money.

Before TAM Capital deals, advises, or manages for a customer, it must obtain information from the customer concerning his financial situation. (Refer to "CMIRs" Annex 5.3).

Clients Relations

TAM Capital should owe the statutory fiduciary duties set out in "CMIRs" Annex 5.4 to its customers.

The responsibility on TAM Capital is to take reasonable steps to operate independently and to disclose to the client, in writing, actual or potential conflict of interest. However, if the disclosure results in provision of inside information, disclosure is not necessary. Instead, a company is required to ensure a fair treatment of the customer including establishing a Chinese wall arrangement.

TAM Capital is prohibited from dealing, advising or managing for a customer or takes collateral for

its own account unless it has taken reasonable steps to enable the customer to understand the nature of the risks involved. Similar obligation is cast in respect of contingent liability securities, non-retail investment funds, illiquid and speculative securities. In respect of illiquid or speculative securities, the company is prohibited from dealing, advising or managing for a customer unless the customer is informed of the difficulties in determining their value.

Casts responsibility on TAM Capital is not to deal, advice or manage or take collateral on its own account unless the advice or transaction is suitable to the customer having regard to the facts disclosed by the customer or the facts that the company is aware of. The customer's knowledge and understanding of the relevant securities, markets and risks involved, his/her financial standing, net worth, portfolio value, length of time the customer has been active in the markets, the frequency of business, extent of his/her reliance on the company's advice, size and nature of transactions and the customer's investment objectives are the factors that must be considered to review the suitability. When a customer proceeds with the order despite the advice to the contrary, the transaction could be executed with a record of the advice provided to the customer is retained.

TAM Capital is prohibited from lending money or extending credit to a customer, directly or indirectly, unless it is satisfied that the amount and the arrangement for loan or credit are suitable for the customer and the customer has given prior written consent along with the maximum amount of loan or credit together with details of the amount and charges to be levied.

TAM Capital is not permitted to effect a margined transaction with or for a client unless the client has entered into terms of business specifying the circumstances under which the client may be required to provide margin, form in which the margin may be provided, steps which the company may be entitled to take if the client fails to provide with the margin, the communication method for making margin call, closing out of the client's position after (5) days of failure of the client to meet a margin call and other circumstances which may lead to close out of client's position. The company can make a secured or unsecured loan or grant credit to a client for a period more than (5) days for the purpose of making a deposit of margin or required margin payment if a credit assessment is made of the client by the company's employee who is independent of the trading or marketing functions and the customer has given prior written consent along with the maximum amount of loan or credit together with details of the amount and charges to be levied. Minimum margin of (**50**) percent is required to be collected prior to effecting the transaction and maintained at (**50**) percent of the current value of each applicable security position. The company needs to adhere to the Authority's prescription for a higher rate of margin for some security or category of securities or prohibition of margined transactions in some securities. The company must further ensure that it has taken reasonable steps to satisfy itself that client is aware of the risk of a margin transaction. The margin payable by the client must equal the margin requirement of the relevant exchange, market or clearing house and must be in the form of cash, fully paid security positions or other acceptable collateral.

The fees and commission charged by the company must be fully disclosed to the clients in advance of providing the service.

The company can enter into a special commission arrangement with a client. In this arrangement the company is entitled to receive goods or services in lieu of / in addition to the commission against trade execution services.

The Market Conduct Regulations also provide for certain 'Conduct' requirements to be met by TAM Capital.

Reporting to Clients

TAM Capital should effect a sale or purchase of a security with or for a client to send the client a

contract note forthwith. Contract notes must provide the information required in "CMIRs" Annex 5.5.

TAM Capital personnel who acts as manager for a client must send a valuation report **at least every three months** in respect of securities or securities-related cash balances contained in the client's account. Valuation reports must provide the information required in "CMIRs" Annex 5.6. Customer portfolio valuation should have the following contents as per Annexure 5.6 of CMIRs:

1. Contents and value of Portfolio
2. Basis of valuation
3. Transactions and changes in portfolio
4. Charges and remuneration
5. Securities pledged or charged
6. Derivatives positions

Client Records

TAM Capital must keep and maintain proper accounting records of each transaction which must be current at times and be sufficient to demonstrate compliance with the rules. Further, TAM Capital needs to maintain proper accounting records of each client account. Such records must accurately record the assets and liabilities of each client and of the clients collectively and contain such information to enable the company to prepare a statement of each client's assets and liabilities and details of transactions effected for the client and identify client money and client assets whether held by the company or its custodian. The records of TAM Capital must contain: details of orders, purchases or sales, income and expenses, receipts and payments of client money and assets, balances held in each client account and a record of client money and assets and a record of the cash and securities held in each client account.

Employees' Personal Dealings

- An employee must not knowingly: be a party to any transaction in a security where a client is a party; or establish a trading account at another company, except where the employee does not offer the same service.
- An employee must have the Compliance Department's approval prior opening an investment account at another company.
- An employee must disclose to the Compliance Officer transactions in securities transacted at a company other than his own within 7 days.
- The Compliance Officer must establish procedures to monitor employees' personal dealings in securities to ensure compliance with the Capital Market Law and the Implementing Regulations.
- The company must implement personal account dealing procedures consistent with the provisions of "CMIRs" Annex 5.7.

Recording Telephone Calls

TAM Capital is not permitted to accept telephone communication from clients in relation to investment business unless there is adequate provision to record the telephone communication. These telephone records are required to be maintained for a period of ten (10) years. In the event a

telephone communication is relevant to a dispute with a client or regulatory enquiry, the record should be retained until the dispute is fully resolved.

Systems and Controls

- TAM Capital must establish systems and controls under this Part taking into account the following: the nature, scale and complexity of its business; the diversity of its operations; the number and value of its transactions; and the degree of risk associated with each area of its operation.
- TAM Capital must establish systems and controls to cover at a minimum: The division of responsibilities and reporting lines in accordance with Article 53 of these Regulations; risk management policies and systems; Anti-Money laundering and terrorism financing procedures; a compliance manual; a compliance monitoring program; a code of conduct; an operational procedure manual; and continuity of business manuals and plans.
- TAM Capital must document its systems and controls appropriately and keep such documentation up to date.
- The documentation described in this Article must be retained for **ten years** after it ceases to be used or is amended.

TAM Capital should appoint a senior officer as Compliance Officer. The Authority may review the appropriateness of the company's compliance arrangements at any time.

The scale and complexity of TAM Capital's business, it may establish a Compliance & Risk Committee to monitor its investment business and its compliance program.

(Refer to the Organization Manual for more details).

Audit and Inspections

- TAM Capital's internal and external auditors must review books, accounts and other records related to investment business at least annually.
- Accounts, records, terms of business and other agreements to which TAM Capital is party must be retained for the period specified in Part 3 of these Regulations and must be made available to the internal and external auditors.

Resolution of Complaints

TAM Capital will establish written procedures to ensure timely and proper handling of complaints from clients and appropriate remedial action in this regard. The company will also keep documented record of the written complaints and subsequent remedial actions.

Money Laundering and Terrorism Financing

TAM Capital should appoint a senior employee as Money Laundering and Terrorism Finance Monitoring Officer (MLRO). The MLRO is responsible for ensuring compliance with the requirements of the Anti-Money Laundering Law and its implementing regulation and reporting to the governing body on matters relating to money laundering and terrorism financing.

Client Money & Assets Policies

TAM Capital must segregate its own money and assets from client money and assets, and client money and assets must only be used for the benefit of client. This article further clarifies that the company's Creditors do not have any claim or entitlement to client's money or assets.

Client Money

TAM Capital must keep sufficient records to demonstrate compliance with the Client's Money Rules. This article further requires the company's auditors to annually review TAM Capital 's compliance with the Client Money Rules and report this review as part of its audit of the company.

TAM Capital should confirm on a daily basis the aggregate balance on of its client accounts at the closing of the preceding business day is at least equal to the "client money requirement" required by the Authority. TAM Capital must ensure that any shortfall is paid into a client account by the close of business on the day the calculation is performed, and any excess is withdrawn within the same time period.

TAM Capital must reconcile, at least once in every (7) days:

- The balance on each client account as recorded by the company with the balance on that account as set out on the statement or other form of confirmation issued by the local bank.
- The balance on each client transaction account with exchanges, clearing houses, intermediate brokers, settlement agents and counterparties.
- Its records of collateral received from clients with the statement of collateral or other form of confirmation issued by the person with whom that collateral is located.

If any difference arises on any of the reconciliations, the company must correct it as soon as possible and in any event within (3) days.

TAM Capital must notify the CMA as soon as possible when it is unable to perform any of the required reconciliations. When the company is unable to resolve a difference arising from reconciliation, it must assume, until the matter is finally resolved, that those records are accurate and pays the difference from its own money into a client account and the amount paid will be client money.

Client Assets

Securities that are eligible for the Depositary Centre must be held in an account in the relevant client's name with the Depositary Centre. TAM Capital must hold a document of title to a client asset in its physical possession, or with a custodian in an account designated for client assets. Furthermore, if TAM Capital registers or records title to a client asset it must ensure that it is registered or recorded in the name of the client, unless the client is a company acting on behalf of its own client, in which case the asset must be registered in the name of that client.

Before providing custody services, TAM Capital must agree in writing with customer appropriate terms of business. (Refer to article 88 of the "CMIRs").

Before holding client assets with a custodian, TAM Capital must agree in writing with the custodian appropriate terms of business as set out in this article.

Assets reconciliation requirements for TAM Capital:

- At least every (**7**) days, the company must reconcile its record of client assets which it does not physically hold, with statements obtained from the Depositary Centre, custodians or

overseas custodians.

- At least **every six months**, the company must carry out a count of client assets physically held by it, and reconcile the results of that count to its record in this regard.
- The company must within (**3**) days correct any discrepancy which is revealed by any reconciliation, and if any discrepancy amounts to a shortfall and is not resolved within (**7**) days, it should be reported to the CMA.
- The company must, at least **once a year**, provide the client with a statement of his asset, collateral or other asset that has been held at any time during the company's financial year.
- This statement should:
    - Identify any securities registered in the client's name, separately from those registered in another name;
    - Identify those securities and assets which are being used as collateral, or have been pledged to third parties, separately from any other securities and asset;
    - Show the market value of any collateral held, as at the date of the statement; and
    - Be based on information as of trade date or settlement date, and the basis must be notified to the client.

Collateral passed to third parties

TAM Capital must take reasonable steps to ensure that collateral is properly safeguarded. Where TAM Capital has reasonable grounds to believe that the collateral will not be properly utilized or safeguarded by a third party, then it must withdraw the collateral from the third party unless the client has indicated otherwise in writing.

Insolvency

If TAM Capital proposes to submit a petition to request a settlement under the Bankruptcy Regulations, it must, inter-alia, notify the Authority of the proposed petition at least (**14**) days prior to its submission;

If TAM Capital enters into the stage of liquidation under the Bankruptcy Regulations, it must, inter-alia, notify the Authority of the liquidation and of the proposed date of any meeting of members or creditors relating to the liquidation and provide the Authority with any documentation it requests in relation to the liquidation proceedings.

Prudential Rules

TAM Capital shall all the time ensure the full compliance with prudential rules Issued by the Board of the Capital Market Authority. The purpose of these rules is to specify the requirements for its financial prudence.

TAM Capital shall continuously possess a capital base which corresponds to not less than the total of the minimum capital requirements in accordance with Chapter 4 to Chapter 16 of Part 3 of the prudential rules or higher if the CMA decides.

The compliance officer shall review and monitor in monthly basis all transactions that affect TAM Capital 's financial prudence in the light of prudential rules. In case of any deviations occurred or expected to occur, the compliance manager shall notify CEO and Asset Management Manager and jointly develop a correction or mitigation plan to resolve this deviation. All deviations from prudential rules to be reported to the CMA with correction plan.

The compliance officer shall ensure that TAM Capital establishes a written policy (Investment Strategy & Risk limits) that shows which financial instruments/commodities or portfolios of such financial instruments/commodities are to be assigned to the trading book and non-trading activities respectively. The intent of the holding of a financial instrument or commodity shall be established by the date of acquisition at the latest and any deviation from the policy is only permitted under the circumstances contained in Article 14 of prudential rules.

TAM Capital shall submit information regarding the calculation of capital base, minimum capital requirements, and large exposures in accordance with the capital adequacy model. Also it shall submit the financial statements to the Authority. These information shall be submitted to the CMA within (**10**) days after the end of the month for the monthly statements, and within (**90**) calendar days after the financial year end for the audited annual financial statements.
TAM Capital shall at least annually conduct a comprehensive review and investigation according to the Internal Capital Adequacy Assessment Process (ICAAP). The annual investigation shall lead to a yearly report submitted to CMA within (150) calendar days after the financial year end.

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THE COMPANY'S COMPLIANCE POLICY

This section deals with TAM Capital**'s** policy with respect to compliance with various rules and regulations and the compliance culture that TAM Capital wishes to consciously foster and maintain.

Compliance with Rules and Regulations

It is the policy of TAM Capital to comply with applicable rules and regulations. TAM Capital follows a policy of zero tolerance to any non-compliance by any of its employees. It will be TAM Capital's constant endeavor to keep timely track of any additions and / or amendments to the applicable rules and regulations and to ensure continued compliance.

Staying Up-to-date

TAM Capital will institute a computerized environment for its operations and its compliance requirements. It will endeavor to reach cutting-edge technology to render the best and most reliable services to its clients and to comply with the CMA's requirements.

TAM Capital will institute rigorous procedures to ensure its internal documents and employees' knowledge remains current with the applicable rules and regulations. The Compliance function will have the mandate to liaise with regulators and ensure effective internal communications of any regulatory changes. In addition, employees will be requested to sign an acknowledgement that they have read the original Capital Market Law, Authority "CMIRs" issued by the Board of Capital Market Authority and Market Conduct Regulations, at least once a year, or when the need arises.

Co-operation with Regulators and Legal Authorities

TAM Capital follows a policy of full co-operation with regulators and legal authorities, required by the law enforced at that time in the matter of any information that may be sought by the regulators or in the context of any investigation that may be carried out by them. It expects its employees to adhere to this standard while dealing with any officer of the regulators and to provide information to the regulators truthfully and honestly.

Compliance Culture

Compliance is the responsibility of the company's officers and employees. Employees should deal with compliance issues appropriately, remain up-to-date with the regulatory requirements and comply with them consistently.

Personal trading and the potential resultant conflicts of interest is one of the most sensitive areas in an investment firm. This section deals with the company's policy related to personal trading and a summary of personal trading reporting and monitoring procedures. The details of the procedures are available in the Code of Conduct.

Human Resources Policy

TAM Capital has a defined Human Resources Policy that includes Code of Conduct, Recruitment, and

Appraisals. It is the policy of TAM Capital to employ people of integrity and honesty.

TAM Capital has a policy to conduct screening and due diligence before engaging any employee with respect to his qualifications, experience, professional & moral conduct, and legal or regulatory violations.

TAM Capital will take appropriate disciplinary action against any employee who commits any conduct contrary to its compliance standards or indulges in acts that do not meet professional or ethical standards of behavior.

Clients Relations Policy

TAM Capital would always endeavor to protect the interest of its customers and to ensure best execution of customer transactions.

The clients will be treated fairly and equally, with respect to the standards of service, execution support and post-execution operational requirements, as per terms and conditions for the type of service engaged.

TAM Capital will share such information with clients that they desire in the ordinary course of business with respect to transactions that are undertaken on their behalf and also such information related to the market that is publicly available but may not be directly available to them. It will deal with each client's information in strict confidentiality and will not share customer information with any other client or third party, except as required by relevant law or regulation.

Conflict of Interest

TAM Capital must ensure that it safeguards at all times the interests of its customer, and that no conflict of interest between its interest and the interest of its customer affects the transactions or the services that TAM Capital carries out for its customer.

Where TAM Capital has an actual or a potential conflict of interest in relation to a transaction it shall disclose that conflict of interest to the customer in writing unless if this information would constitute provision of inside information. In that instance TAM Capital shall take reasonable steps to ensure fair treatment for the customer. These steps should be documented and approved by compliance & CEO before implementation.

If there is a conflict between an interest of the company and an interest of the customer in any transaction, TAM Capital must pay to the customer the value of any loss incurred by the customer as a result of the conflict unless: 1) TAM Capital has disclosed the conflict of interest to the customer; and 2) the customer has agreed in writing that TAM Capital can proceed notwithstanding the conflict.

TAM Capital must in all cases comply with Article 14 of the Market Conduct Regulations in any dealing as principal with a customer.

Compliance Training

New Employee Training

Compliance briefings will be provided to new employees with a special focus on compliance requirements relevant to employee's function, the code of conduct and the personal trading rules. The Compliance Officer would arrange one-to-one or group briefings for new employees, depending on the number of employees, **within a month** after their joining. The Compliance Officer will issue a

written note / certificate of attendance.

Circulate Compliance Manual

Compliance Officer will circulate this manual and any update on the manual to all staff.

Regulatory Updates

The Compliance Officer would provide monthly updates on the regulatory changes, if any, to the relevant employees. These updates will be in addition to the notifications that the Compliance Officer would make on the regulatory changes as they are received. The purpose of these updates would be to ensure that any amendments/ additions in the regulations are clearly understood by employees.

Annual Refresher Training

The focus of the annual training, which will be held towards the end of each calendar year, is to provide an update to the employees about the current regulatory trends and concerns, the issues related to personal trading, compliance efforts / initiatives of TAM Capital and the areas that need closer compliance attention from a risk point of view.

Record of Training

The HR Department would keep a record of the training engagements, the names of employees attending and the topics covered. A summary of the same would be provided to TAM Capital**'s** Chief Executive Officer on an annual basis.

Continuing professional education policy for registered persons

The continuing professional education policy aims to raise the professional competence of people registered with the company in legislative and technical issues related to their work.
Continuing professional education hours for registered persons:
For people registered with the company, it is (16) hours and should covers the legislative and moral aspects, in addition to the technical aspects related to the person's work registered, and based on the company' s need and its annual training plan for registered persons.

COMPLIANCE REFERENCE MATRIX FOR THE COMPANY

The Compliance Rules set forth by CMA; Capital Market Institution Regulation are as follows:

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Compliance	Sub Item	Details of Compliance Item
Notification to CMA		Provide CMA with information, records or documents whenever required.
		Governing body and employees must comply with CMA requirements.
		Company must continuously be fit and proper to carry out the authorized securities business.
		Request approval for modifications in the company's permitted business profile.
		Notify CMA of any company controllers' changes.(30 Day'S)
		Notify CMA when a person intending to establish close links with the Company. (30 Day's)
Advertisement		Comply with Advertisement contents requirements
Periodic reporting to CMA		Company who holds client money must submit to the CMA such accounts as it requests.
Recordkeeping requirements		Company must record and retain sufficient information about its securities business to demonstrate compliance with CMA regulations.
		Record-keeping period of (**10**) years.
		Records format.
	Terms of business	Company must retain a record of the terms of business it provides to a client, and any amendment to them.
	KYC	Company must retain a record of all information obtained from customer.
		Company must disclose to its clients that calls are recorded.
	Systems & Controls Documents	Systems and controls documents must be retained for (10) years after it ceases to be used or is amended.

Compliance	Sub Item	Details of Compliance Item
	Division of responsibilities and systems & controls	Each review minutes of the division of responsibilities and systems & controls must be maintained for (**10**) years.
	Audit Committee	Audit Committee meetings must be retained for (**10**) years.
	Compliance Committee	Minutes of the compliance committee meetings must be retained for (**10**) years.
	Internal Audit	Minutes of the internal audit meetings must be retained for (**10**) years.
	Recruitment	Company must retain appropriate records relating to its employees in connection with their recruitment procedure, experience and qualifications for a period of (**10**) years from the date on which company recruited the employee.
	BCP	Business continuity plan must be retained for a period of (**10**) years after it ceases to be used or is amended.
Record retrieval procedures		All records required to be maintained by CMA must be available for inspection by the Authority.
Mandate over an account in the client's name		Company must ensure that all transactions entered into pursuant to a mandate it has over a client account, are within the scope of the authority conferred by the mandate and establish procedures for the giving and receiving of instructions under the mandate.
Systems and controls		CEO must set clear and appropriate division of responsibilities among directors, partners and senior management; and must establish and implement company's systems and controls.

Compliance	Sub Item	Details of Compliance Item
		Company must establish and maintain systems and controls that are appropriate to the business.
		Company's governing body is primarily responsible for compliance with CML and Implementing Regulations and all other regulatory requirements applicable to the company.
		Company must establish systems and controls to cover at a minimum: • The division of responsibilities and reporting lines; • Risk management policies and systems; • AML & ATF procedures; • Compliance manual; • Compliance monitoring program; • Code of conduct. • an operational procedures manual • continuity of business manuals and plans
		Company must document its systems and controls appropriately and keep them up to date.
	Business continuity	Company should have a documented Business Continuity Plan "BCP" to ensure it can continue to operate and meet its regulatory obligations in the event of an unforeseen interruption to its activities. BCP should be regularly updated and tested.
Risk management policies		None specified in CMIRs.
Code of conduct		Conduct business with integrity.
		Conduct business with due skill, care and diligence.
		Efficiency of management and control, by taking reasonable care to organize company affairs responsibly and effectively, with adequate risk management policies and systems.

Compliance	Sub Item	Details of Compliance Item
		Financial prudence, by maintaining adequate financial resources in accordance with the Rules issued by CMA.
		Proper market conduct by observing proper standards of market conduct.
		Arrange adequate protection of client's asset.
		Co-operate with regulators including disclosing to CMA any material event or change in company's business operations or organization.
		Communicate information to clients in a way which is clear far and not misleading.
		Pay due regard to customers' interests and treat them fairly.
		Ensure no conflicts of interest, by managing conflicts of interest fairly, both inside a company and with customers and between a customer and another client.
		Take reasonable care to ensure the suitability of customer advice and discretionary managing decisions for any customer to whom it provides those services.
Segregation of duties		Company must register with CMA the following functions: CEO, Head of finance, director/partner, senior officers, and Compliance Officer, MLRO, and client functions.
		CEO, Head of finance and Compliance Officer must be separate persons.
		Compliance Officer should not perform a client function.
Roles of the Board and Compliance Committee	**Review by governing body**	Company's governing body must review regularly the division of responsibilities and the systems and controls (including documentation and follow-up on any spotted issues.

Compliance	Sub Item	Details of Compliance Item
		Each review of the division of responsibilities and systems and controls conducted by company's governing body should be minuted.
Responsibilities of Compliance Officer (CO)		Company must appoint a senior officer as compliance officer
		Ensure that appropriate policies and procedures are in place to enable company to comply with CML, the implementing regulations and all other applicable regulatory requirements
		CO and his department must appropriately resourced and have access all company's records.
		Ensure the establishment, implementation, enforcement and maintenance of the compliance manual and the compliance Monitoring Program.
	assets	Shall report on this review as part of its company audit.
		Company must keep records which are sufficient to demonstrate compliance with the Client Money Rules.
Conduct of Business	**Inducements**	Company must not induce a client to engage in any transaction by offering or giving gifts or inducements.
		Company must not accept gifts or inducements if doing so would cause conflict with any client duty.
		Company must not participate or offer to participate in any client losses.

Compliance	Sub Item	Details of Compliance Item
	Confidentiality	Clients' information must be kept confidential, except when required by CMA, client has consented to disclosure, disclosure necessary for client service or information no longer confidential.
		Company must establish Chinese walls arrangement within the company.
	Accepting Clients	Must classify client in one of the following categories: customer, execution-only customers or counterparty. Company must not advise clients classified as an execution-only customers.
		Company must ensure that it complies with AML and ATF rules and regulations before conducting any client securities business.
		In the account opening process, company must obtain information from the customer concerning the customer's financial situation, investment experience and investment objectives relevant to the services to be provided, as stated out in 'KYC form'.
		Company must not activate the client nor provide any advice/service if refuse provide required information.
Market conduct	**Clients assets**	Company must get authorization to hold client assets and provide custody services.
		Company must segregate the client assets that it holds from its own assets.
	Holding and registration of client assets	Securities that are eligible for the Depositary Centre must be held in an account in the relevant client's name with the Depositary Centre.
		Company must hold a document of title to a client asset in its physical possession, or with a custodian in an account designated for client assets.

Compliance	Sub Item	Details of Compliance Item
		If Company registers or records title to a client asset it must ensure that it is registered or recorded in the name of the client, unless the client is a company acting on behalf of its own client, in which case the asset must be registered in the name of that client.
	Client agreements	Before providing custody services, company must agree in writing with customer appropriate terms of business as set out in this article.
	Custodian agreement	Before holding client assets with a custodian, company must agree in writing with the custodian appropriate terms of business as set out in this article.
	Reconciliations	Company must reconcile, at least every (**7**) days, its record of client assets which it does not physically hold, with statements obtained from the Depositary Centre, custodians or overseas custodians.
		Company must carry out a count, at **least every six months**, of all client assets physically held by it, and reconcile the results of that count to its record in this regard.
		Company must carry out reconciliation between its record of client holdings, and its record of the location of client assets.
		Company must perform the reconciliations within (**10**) days of the date to which the reconciliation relates.
		Company must within (**3**) days correct any discrepancy which is revealed by any reconciliation, and if any discrepancy amounts to a shortfall and is not resolved within (**7**) days, it should be reported to the CMA.
Customer complaints procedure		Company must have written procedures for customer complaints handling and resolution.
		Procedures must ensure timely and proper handling of clients' complaints and that the appropriate remedial action is taken.

Compliance	Sub Item	Details of Compliance Item
		Procedures must include that where a complaint arises from the conduct of a third party employed or recommended by the company, a company shall intercede on behalf of the client, making best efforts to resolve the complaint.
		Complaint must be investigated promptly and fully by a company's officer who was not originally involved in the matter giving rise to the complaint.
		Records of the written complaints and any action taken must be documented.
AML compliance and reporting		Company must appoint an MLRO responsible for ensuring compliance with the AML & ATF requirements.
		MLRO will be reporting to the governing body on matters relating to money laundering and terrorism financing.
Recruitment, training, supervision and discipline of employees		Company must establish adequate procedures for the recruitment, training, supervision and discipline of employees.
		Company must establish recruitment procedures to ensure that it recruits employees who are appropriately qualified for the role and honest.
		Company must establish a program to ensure that employees are trained appropriately.
		Company must train its employees at least once a year on Capital Market Law, its Implementing Regulations and any other laws updates.
		Company must maintain records of employee names that have breached any of the Capital Market Law, its Implementing Regulations or the Company's rules & regulations. The records must also include the breach or conduct for which the employee was disciplined.

Compliance	Sub Item	Details of Compliance Item
Client Money & Assets	**Lending client securities**	Company must not lend securities belonging to a client or engage in such lending activities with a client except after obtaining the client's express consent to this in writing.
		Any securities lending activity must be subject to appropriate terms and conditions.
		Company must at all times during the period of a securities transaction ensure that the borrower provides collateral to cover the realizable value of the securities being lent.
		Company must at all times during the period of a securities transaction daily monitor whether the amount of the collateral is sufficient to cover the realizable value of the securities.
		If the amount of the collateral is not sufficient to cover the realizable value of the securities, make up the level of collateral, unless otherwise agreed in writing with the client.
		All securities lending transactions must be appropriately documented.
	Collateral & money assets passed to 3rd parties	Collateral held by a company must be separately identifiable from company assets. Company must be able to identify at all times the client providing the collateral.
		When company passes collateral of a customer which is client money or client assets to a counterparty in the Kingdom, it must take reasonable steps to ensure that the counterparty treats the collateral as client money or client assets; or have obtained the consent of the customer.
		Company must not undertake a transaction for a client that involves client money or client assets being passed either as collateral to a counterparty or to a settlement agent outside the Kingdom before formally notifying the client.

Compliance	Sub Item	Details of Compliance Item
		When transferring clients' collateral to an exchange or clearing house, company must notify them that the collateral is client money or client assets, and that a company is under an obligation to keep clients' collateral separate from the company's collaterals.
		When transferring clients' collateral to an exchange or clearing house, company must instruct the exchange or clearing house to credit the value of that collateral to the company's client transaction account with the exchange or clearing house.

COMPLIANCE NOTIFICATION REQUIREMENTS

The Company should notify CMA in writing on the occurrence of the following as per schedule below:

Subject	Notification Deadline
A change in company registered name.	**within 30 days**
A change in business name under which a company carries on securities business in the Kingdom.	**within 30 days**
The change in Company's head office or the address of the place for service of notices or documents.	**within 30 days**
Any change in the material information provided to the Authority on the form of application for registration relating to a registered person's name, good reputation or character.	**within 7 days**
The formation, acquisition, disposal or dissolution of a subsidiary specifying the subsidiary's name and its principal business.	**within 7 days**

Subject	Notification Deadline
When a company acquires or disposes of a holding of more than half in nominal value of the capital of a company or equivalent holding of an unincorporated body, specifying the name of a company or unincorporated body and its principal business.	**within 7 days**
Any changes in the information originally submitted under the following headings: 1. Branch offices in the Kingdom from which a company carries on securities; 2. Insurance arrangements; 3. The countries outside the Kingdom in which a company carries on securities business indicating whether this is done through a branch office, a subsidiary or otherwise. 4. The contracts or arrangements to clear and settle transactions or for custody of client money or client assets.	**within 7 days**
The presentation of a petition for the winding up of a company which is a subsidiary or controller of a company or the summoning of any meeting to consider a resolution to wind up a company which is a subsidiary or controller of the company.	**Immediately**
Any insolvency event.	**Immediately**
The imposition of disciplinary measures or sanctions on a company in relation to its securities business by any regulatory authority.	**Immediately**
The conviction of a company for any offence under legislation relating to banking or other financial services, companies, insolvency, or for any offence involving fraud or any act involving a lack of integrity or dishonesty, or the imposition of any penalties for deliberate zakat or tax evasion.	**Immediately**
A general partner in a company becoming a limited partner.	**Immediately**
The granting or refusal of any application for, or revocation of, authorization to carry on securities, banking or insurance business in any country or territory outside the Kingdom.	**Immediately**

Subject	Notification Deadline
The withdrawal or refusal of an application for, or revocation of, membership of an exchange or clearing house.	**Immediately**
The appointment of inspectors by an official or regulatory authority to investigate the affairs of the company.	**Immediately**
A significant act of misconduct by a company or any of its registered persons.	**Immediately**
The resignation or dismissal of any of the following persons: 1. CEO or Managing Director; 2. Finance officer; 3. Director or partner; 4. Senior officer or head of department; 5. Compliance officer; and 6. MLRO. In cases of dismissal, full details of reasons for dismissal must be provided.	**Within two days**
Any matter which would be material to the requirements of the company, any of its controllers, or any of its registered persons to remain fit and proper in accordance with the requirements under these Regulations.	**Immediately or prior to occurrence**
Any other matter which would be material to the Authority's supervision of a company or any of its registered persons.	**Immediately or prior to occurrence**
Any material changes to the information previously provided by a company in any application for registration for one of its employees or prospective employees.	**Immediately or prior to occurrence**
Any material event or change in the company's business or operations.	**Immediately or prior to occurrence**

Subject	Notification Deadline
A proposed reorganization or business expansion or other change that could have a material impact on the company's business, risk profile or resources, including, but not limited to, the following: 1. Setting up a new business within the company's group, or establishing a new branch. 2. Commencing the provision of cross border services into a new territory. 3. Commencing the provision of a new type of product or service. 4. Sale or transfer of any material assets or parts of its business. 5. Ceasing to undertake a securities business activity, or significantly reducing the scope of any activity.	**Immediately or prior to occurrence**
Entering into, or significantly changing, a material outsourcing arrangement of a function of a company of sufficient importance that failure of the function would jeopardize the company's ability to comply with these Regulations.	**Immediately or prior to occurrence**
Any significant failure in the company's systems or controls, including those reported to a company by its auditor.	**Immediately or prior to occurrence**
Any event related to a company that results in a material change in its capital adequacy, including: 1. Any action that would result in a material change in the company's financial resources or financial resources requirements under CMA Regulations, particularly CMIRs & Prudential Rules. 2. The payment of a special or unusual dividend or the repayment of share capital or a subordinated loan. 3. Any significant losses, whether recognized or unrecognized.	**Immediately or prior to occurrence**
The withdrawal or refusal of an application for, or revocation of, membership of an exchange or clearing house.	**Immediately**

THE COMPANY'S COMPLIANCE POLICY

This section deals with TAM Capital's policy with respect to compliance with various rules and regulations and the compliance culture that TAM Capital wishes to consciously foster and maintain. The Board of Directors will issue a Compliance Policy Statement, which highlights the importance of complying with laws and regulations. The policy statement will be circulated to all staff. Below please find the Compliance Policy Statement:

" TAM Capital" is committed to the preservation of its reputation and integrity through compliance with CMA Regulations, decisions, other relevant Local Laws and ethical standards in the market in which it operates. While TAM Capital's Senior Management has ultimate responsibility and will lead by example, all departments will intensify their oversight and follow-up efforts to ensure implementation and compliance with local laws and regulations. All employees are, thus, expected to adhere to these laws and regulations and ethical standards. Furthermore, TAM Capital's Board and Senior Management have collective responsibility for ensuring such compliance and TAM Capital's Compliance Department will be responsible for reporting to the Board, on an annual basis, on the management of the Company's compliance risk".

Compliance Department will be responsible for ensuring that we are in compliance with all relevant local laws and regulations such as Anti-Money Laundering and Combating Terrorist Financing laws and regulations (AML & CTF). The Department will further ensure that all employees are in full compliance with applicable laws and regulations affecting their respective businesses.

TAM Capital takes this opportunity to re-emphasize that it is company's policy and commitment to comply with local laws and regulations and needless to say that strict compliance is a personal responsibility of each employee and staff should expect to be and will be held accountable for all compliance-related activities. Employees who are in violation of any law or regulation will be subject to the consequences of non-compliance as stipulated in the respective law or regulation.

Furthermore, prompt identification of possible compliance issues is necessary for the process to succeed, therefore any employee who has good reason to believe that the Company or any of its officers, or employees is actually or potentially in violation of any law, or regulation should report it to his supervisor or the Compliance Department.

TAM Capital trusts that all employees will collectively and individually discharge their responsibilities and help maintain the Company's reputation and integrity. Lastly, please do not hesitate to contact TAM Capital's Compliance Department for any question or clarification.

COMPLIANCE SCOPE RESPONSIBILITIES

Scope

- The Compliance Function represents a manual to ensure compliance with related laws and regulations issued by Capital Market Authority (CMA) & also applicable rules & regulations applicable in Kingdom of Saudi Arabia.
- Scope limitations: Employees lack of clear understanding and awareness of related laws and regulations, in addition to lack of training represents a major difficulty in ensuring reasonable compliance with laws and regulations.
- Applicability Scope: All staff without exception as the case may be.
- This manual states the policies and procedures that TAM Capital will adopt for carrying out all business activities in full compliance with the applicable laws and regulations.
- This manual help in the identification of non-compliance activities and risks associated with compliance.

Audit Committee

AC shall be responsible for:

- Assess the quality of Compliance manual.
- Assess the quality of Compliance control.
- Review and recommend this manual to the Board

Board of Directors responsibilities

- Approve a formal document establishing a permanent and effective compliance function.
- Overseeing the management of the Company's compliance risk.
- Assess the extent to which the Company is managing its compliance risk effectively.
- Develop and approve the Shariah Governance Framework of TAM Capital. The board of directors -or equivalent- has the right to delegate the development of such framework to whomever it deems appropriate.
- Approve the annual report of the Shariah Committee and disclose such report to the public independently or as a part of the report of the board of directors of TAM Capital.

Senior Management responsibilities

Senior Management has the following responsibilities:

- Establishing a written compliance policy that contains the basic principles to be followed by management and staff, and explains the main processes by which compliance risks are to be identified and manage through all levels of the Company.

- Ensuring that the compliance policy is observed and appropriate remedial or disciplinary action is taken if breaches are identified.

- With the assistance of the compliance function, senior management should at least once a year, identify and assess the main compliance risk issues facing the Company and the plans to manage them.

- At least once a year, senior management should report to the Board & Audit committee of the board on the Company's management of its compliance risk.

- Senior management should report promptly to the board of directors & Audit committee of the board on any material compliance failures.

- Notifying the Board upon the hiring of/resignation of the Head of Compliance, with explaining the reasons for the resignation.

- Taking the necessary measures to ensure that the Company can rely on a permanent and effective compliance function that is consistent with the following features:

    - Independence: Compliance function should be independent from the Company's Business activities. To ensure its independence, the compliance function should have the right on its own initiative to communicate with any staff member and obtain access to any records or files necessary to enable it to carry out its responsibilities.

    - There should be a Head of Compliance with overall responsibility for co-coordinating the management of the Company's compliance risk.

    - Compliance function staff should have access to the information and personnel necessary to carry out their responsibilities and other Company staff must cooperate in supplying this information.

    - The Compliance Department will have the right to conduct investigations of possible breaches of the compliance policy.

    - The Compliance Department should have the right to be able freely to express and disclose its findings to senior management, and the board of directors or a committee of the board, and the right of direct access to the board of directors or a committee of the board.

- The compliance function should have the right on its own initiative to communicate with any staff member and obtain access to any records or files necessary to enable it to carry out its responsibilities.

Compliance Function roles and responsibilities

The responsibilities of the Company's compliance function should be to assist senior management in managing effectively the compliance risks faced by the Company. Its specific responsibilities are set out below:

- Advise senior management on compliance laws, rules and standards, including keeping them informed on developments in the area.
- Assist senior management in educating staff on compliance issues.
- Act as a contact point within the Company for compliance queries from staff members.
- Ensure Regulatory Compliance & Compliance of Internal Policies & Procedures;
- Assist senior management in establishing written guidance to staff on the appropriate implementation of compliance laws, rules and standards through policies and procedures and other documents such as compliance manuals, internal codes of conduct & practice guidelines.
- On a pro-active basis, identify, document and assess the compliance risks associated with the Company's business activities, including: the development of new products and business practices, the proposed establishment of new types of business or customer relationships, or material changes in the nature of such relationships, and should be represented on the new products committee.
- Based on relevant measurements, such as performance indicators summarize any identified breaches and/or deficiencies and the corrective measures recommended addressing them and reporting on corrective measures already taken. The reporting format should be commensurate with the Company's compliance risk profile & activities.
- Coordinate the distribution of compliance policies, information and requirements to all Departments.
- Compliance will also liaise with relevant external regulators.
- Follow up and review the annual report with fund managers on the extent of the compliance with the provisions and principles of the Shariah in respect to the products and services provided by the Capital Market Institution, that are Shariah Compliant, including the Shariah standards that the Shariah Committee relies on in issuing its decisions, and submit it to the board of director of the Capital Market Institution -or equivalent- for approval.

COMPLIANCE PLAN

Compliance includes compliance with governing laws and regulations the major of which are detailed below:

Major Regulatory Compliance Requirements

(For detailed summaries of all applicable regulatory requirements, refer to the Compliance Grids).

The CEO is responsible for ensuring the identifying on a continuous basis the compliance requirements of local laws and regulations applicable to their activities. He is also responsible for ensuring the documenting these in the Compliance Grids together with the compliance procedures that will assure compliance with the relevant requirements, following the established procedures in the Company.

The role of the Compliance Function is to:

- Documenting of the compliance requirements applicable to their activities and in development of Compliance Grids.
- Review Compliance Grids to ensure that:
    a. All requirements of local laws and regulations are identified are addressed in their Compliance Grids.
    b. Based on the available information, compliance does not see any uncovered compliance risks or issues.

Major Local Laws and Regulations

I. **Capital Markets Law:**
The law mandates compliance with the rules of the Market regarding Brokerage Services. It also stipulates that Issuers are not permitted to offer financials instruments if it has not submitted a placement memorandum to the Commission and publishing it as stipulated in the Commission's Rules and Regulations, etc.

II. **Capital Market Institution Regulations:**
The purpose of these Regulations is to regulate authorized persons and registered persons and to specify the procedures and conditions for obtaining a license, as well as the conditions for the maintenance of the license or the registration, to provide for the rules of conduct that authorized persons must comply with when conducting their business, as well as the rules and provisions governing the conduct of business, and to set the systems and controls as well as the provisions relating to client money and assets.

III. **Investment Funds Regulations:**

These Regulations aim at regulating the establishment, offering and management of investment funds and associated activities in the Kingdom.

IV. Merger and Acquisition Regulations:

The Regulations apply in any situation where there is a restricted purchase of, or a restricted offer for, shares, a takeover offer, or reverse takeover, relating to any listed company.

V. Market Conduct Regulations:

This regulation prohibits any manipulative and deceptive acts or practices, manipulative and deceptive acts or practices, etc.

VI. Offers of Securities Regulations:

This regulation covers the offering of securities, or any statement, announcement or communication that has the effect of selling, issuing or offering securities.

VII. Real Estate Investment Funds Regulations:

These Regulations aim at regulating the establishment, offering, and management of Real Estate investment Funds, protection of Unit holders' rights and the application of disclosure and transparency rules and they should be read in conjunction with and in addition to the Capital Market Institution Regulation and the Securities Business Regulations.

VIII. Real Estate Investment Traded Funds Instructions:

These instructions aim to regulate the offering of the real estate Investment Traded Funds and they should be read in conjunction with and in addition to the Capital Market Law and its Implementing Regulations.

IX. Investment Accounts Instructions:

These instructions aim to regulate the opening and operation of investment accounts held by authorized persons licensed to conduct the activities of dealing, managing, or custody; and to define the related investment accounts controls and supervisory and they should be read in conjunction with and in addition to the Capital Market Law and its Implementing Regulations and in particular the Capital Market Institution Regulation and the Anti-Money Laundering and Counter- Terrorist Financing Rules.

X. Securities Business Regulations:

This regulations regulates the offering of securities business and various securities activities and also gives guidance on securities advertisement.

XI. Anti-Money Laundering (AML) and Combating Terrorists financing (CTF) Law Rules and Regulations:

The law mandates full compliance with Saudi AML laws and regulations such as informing CMA and Saudi FIU of any transactions, carried out by their customers, which they suspect may be related to illegal dealings, and may consequently be related to money laundering and/or terrorism financing, verifying the real identities of their clients at all times.

XII. Corporate Governance Regulations:

These Regulations include the rules and standards that regulate the management of joint stock companies listed in the Exchange to ensure their compliance with the best governance practices that would ensure the protection of shareholders' rights as well as the rights of stakeholders.

XIII. Prudential Rules:

The purpose of these Rules is to specify the requirements for the authorized persons' financial prudence. These Rules shall be read in conjunction with all Implementing Regulations.

XIV. The Instructions for Shariah Governance in Capital Market Institutions:

The purpose of these Instructions is to set out the rules and standards of Shariah governance for the Capital Market Institutions, which provide, wholly or partially, products or services that are Shariah Compliant. b) Paragraphs (2) and (7) of Article (3) and Paragraph (6) of Article (8) of these Instructions are mandatory to the Capital Market Institutions, which provide, wholly or partially, products or services that are Shariah Compliant. The other provisions of these Instructions shall be deemed as guidance. c) These Instructions shall not prejudice the provisions of the Capital Market Law and its Implementing Regulations.

XV. TAM Capital's Code of Conduct

XVI. Any future related circulars that may come from CMA.

International Laws and Regulations

The United Nations Sanctions Programs:

The UN also provides for restrictions on providing Banking services and trade finance to certain countries and to designated individuals and entities associated with these countries. As the UN sanctions apply to Kingdom of Saudi Arabia, being a member of the UN, TAM Capital will maintain a Specially Designated Names (SDN) database and will screen its clientele base and its transactions against such database.

COMPLIANCE GOALS

Major Objective:

The Compliance function main goal is to ensure that Company employees are in compliance with the respective laws and regulations and that they pose the required knowledge and awareness of such laws and their applicability.

Specific goals for Compliance:

The below stated are goals for Compliance:

Goal/Risk Area	Action Plan
Compliance Manual	Prepare a Compliance manual and submit to the BOD for approval
Self - Testing Assessment Report	Self-Testing is one of the most important control tools which will ensure company complies for compliance
Staff Training	Train all staff on Compliance/AML & CTF
Compliance Monitoring Program	Implement the Compliance Monitoring program after BOD approval
Policy & Procedures Development Plan	A Policy & Procedures Development Plan has to be developed to revise the existing & develop new polices & procedures as per business requirements
Compliance Grids	Compliance Grids to develop their own compliance self-testing practices by using the self-testing column
Compliance Automated Dashboard System	Compliance Automated Dashboard System is an effective monitoring tool to measure the performance of the company with the regulations

AWARENESS & COMMUNICATION

A process to provide ongoing awareness and effective communication throughout the company about the need to comply with governing regulations and laws is in place. The process provides ongoing awareness of the need to comply by continually reinforcing what the consequences of compliance failure will be. The process has a clear and open communication process to educate, and to surface and address compliance matters. Employees throughout TAM Capital will be made aware of the communication process so that they are able to use it to communicate compliance matters to appropriate level within the Company. The communication process should be effective in communicating compliance matters (new/changed rules, training, etc.) throughout the Company.

The Awareness and communication process includes:

a) The BOD's compliance policy statement must be circulated to all staff in the organization to reinforce the principle that each employee is responsible for compliance and that ignorance of applicable laws or regulations is not an excuse for failure to comply.

b) A Compliance Email distribution list will be created and will be fully utilize by Compliance and the company to ensure timely circulation of all compliance related matters and requirements.

c) The Company is responsible for identifying on a continuous basis the compliance requirements of local laws and regulations applicable to their activities, and documenting these in the Compliance Grids.

d) The Department designated to receive CMA circulars must in turn channel such laws/regulations with a copy to the Compliance Department.

e) The Company is responsible for (at least annually) identifying and documenting their employees' compliance training and awareness needs and for working with Compliance Department to ensure that appropriate training is provided.

f) The Compliance Department is responsible for arranging basic compliance awareness training for newly hired employees.

COMPLIANCE RISK MANAGEMENT

Compliance Risk

'Compliance risk' at TAM Capital is defined as: The risk of impairment to the company's business model, reputation, integrity and financial condition, resulting from failure to comply with laws, regulations and internal company rules and policies. This includes the risk of failure to comply with established good business practices and expectations of key stakeholders such as customers, employees and society as a whole due to non-compliance with regulatory requirements and TAM Capital's core values and business principles set forth in the TAM Capital 's Code of Conduct.

This risk exposes the company to fines, civil money penalties, payment of damages, and the voiding of contracts. Compliance risk can lead to diminished reputation, reduced franchise value, limited business opportunities, reduced expansion potential, and an inability to enforce contracts.

Identifying Compliance Risks

There are two main sources of compliance risk for TAM Capital:

1) **Internal Compliance**
   Risks associated with not complying with internal rules, policies and procedures;
2) **External Compliance**
   Risks associated with not complying with external laws and regulations.

Compliance Risk Appetite

TAM Capital aims to be compliant with all applicable laws and regulations, internal company rules and policies governing its operations and established good business practices. TAM Capital will ensure that this requirement is embedded in the culture of its business operations.

Tolerance

Where the application of a rule or guidance is open to interpretation, TAM Capital may make a judgement if it can evidence a reasonable argument for its actions and the interpretation does not result in TAM Capital taking any unacceptable risks.

In judging the application of a rule or guidance that is open for interpretation, TAM Capital considers the following to be unacceptable:

- Customer financial loss or loss of rights due to non-compliance with applicable regulatory requirements;
- Implementation of any product, service, process or system that is likely to result in enforcement action by the regulator;
- Implementation of any product, service, process or system that, if the regulator were aware,

would lead to a guidance for the company to undertake corrective and/or remedial action;

- Implementation of any product, service, process or system that is likely to result in loss of customer or intermediary confidence in the Company's ability to conduct business compliantly;
- Business practices that do not display integrity and may damage TAM Capital's reputation.

Compliance Risk Mitigation

Compliance Risk Mitigation is the process of responding to unacceptable compliance risks to bring them to an acceptable level. For compliance risks that exceed the respective tolerance level, risk mitigation strategies need to be defined. Responding to risks can be achieved through a combination of mitigation strategies:

- Risk reduction;
- Risk avoidance;
- Risk transfer; and
- Risk response.

The defined mitigation strategies should mitigate the impact and/or likelihood of the identified compliance risks. Compliance Risk Mitigation focuses on risk reduction by developing and implementing controls such as standards, policies, procedures and guidelines to prevent or reduce compliance risks.

NON-COMPLIANCE AND ESCLATION PROCEDURE

Identification and prioritization of non-compliance risks based on severity

The company shall identify its top non-compliance risks and develop risk control action plans to control and monitor such risks. The process for managing compliance risk for the company will involve the following steps:

- Identify risks
- Assess and prioritize risks
- Analyze compliance behavior (causes, options for treatment)
- Determine treatment strategies
- Plan and implement strategies

- Evaluate compliance outcomes (filing, reporting)
- Monitor action against plan.

The Head of Compliance shall be responsible for ensuring that significant compliance risks are identified and risks mitigation plans developed to manage risks.

Severity Thresholds

The severity of non-compliance shall be measured on a scale of 1-4 as defined below:

Rating	Impact	Description
4	High	**Non-compliance can lead to adverse regulatory / penal action or major financial loss to the company.**
3	Moderate	**Non-compliance that can lead to observations from regulators / or minor financial loss for the company.**
2	Minimal	**Non-compliance has minimal regulatory or financial impact.**
1	Low	**Very minor non-compliance relating mainly to minor breaches in internal procedures and does not have any significant impact on the company.**

Handling Compliance Breach

a) Serious Legal Compliance Breaches

Where the alleged compliance failure amounts to "misconduct" likely to lead to dismissal, the Company will inform the concerned authority as soon as practicable that such misconduct may have been committed by an employee. The authority will then direct how the matter is to be handled.

b) Less Serious Compliance Breaches

In less serious instances of compliance failure, the following steps will be taken:

Where it is appropriate to apply internal mechanisms to respond to an alleged compliance failure, the Head of Compliance will follow the steps outlined below:

- **Meet with parties concerned**

  The Head of Compliance will meet with the person(s) who has/have reported the alleged

compliance breach in order to clarify the nature of the claims being made and obtain any relevant background information. The concerned authority will then meet with the person who is alleged to have committed the breach and inform him / her of the nature of the allegations that have been made. The concerned authority may request that another officer be present at any such meetings - e.g., the relevant Responsible Officer for the area of legislation involved.

- **Gather information about circumstances of case**

  The concerned authority may need to undertake a limited initial investigation, in order to gather information about the facts and circumstances of the case.

- **Determine course of action**

  If, after having assessed the available information, the concerned authority forms a belief that there is no foundation to the claims of a compliance breach, he/she shall notify the parties involved to that effect in writing. If the concerned authority concludes that a breach has occurred, he/she shall notify the parties involved in writing and decide on an appropriate course of action. If the compliance failure is relatively minor in nature, the concerned authority may elect to resolve the matter by means of a low-key action - e.g., staff development, guidance and counseling.

- **Referral to Senior Management**

  Where the alleged compliance breach is sufficiently serious that it is not appropriate to deal with it through low-key action (such as staff development or counselling), or where an allegation cannot be satisfactorily resolved through such means, the concerned manager will submit a report to the CEO. The report will provide information about the nature and details of the allegations and what steps have been taken to resolve the issue. The relevant formal Misconduct provisions as set out in relevant agreements will then come into effect.

Breach Escalation

Non-compliance events / risk exposures rated as highest on the scale of severity shall be reported at the highest level within the company. This will involve close and detailed liaison with regulatory authorities and perhaps other agencies as well. As the severity of non-compliance events / exposure decreases the organizational level at which the risk events / exposures can be appropriately managed shall be as indicated in the tables below:

Impact	Event Escalation
High	Board

Moderate	**CEO**
Minimal	**Head of Department**
Low	**Concerned Staff**

Appendix

Appendix: Annual Review Minutes

Date of Review: Tuesday, May 20, 2025

Summary of Review:
Review and update as per regulation conducted. The proposed changes saved by track changes feature and saved under department control of Compliance & AML in word file format.

List of major changes as follow:

1. Amend 1.3 Review Cycle
2. Amend 2.8 Accepting Clients
3. Amend 2.10 Employees' Personal Dealings
4. Add 3.8.6 Continuing professional education policy for registered persons
5. Amend 7.3 Board of Directors responsibilities
6. Amend 7.5 Compliance Function roles and responsibilities
7. Add XIV. The Instructions for Shariah Governance in Capital Market Institutions

Compliance Manual

Review By: **Compliance & AML Manager**

Endorsed by: **CEO**

APPROVAL

This document has been approved in 22th of April 2025

CEO & Managing Director

Chairman Of The Board

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TAM CAPITAL

DOCUMENT CONTROL

Version Control

Version	Date	Description	Done By
1.0	April 2025	Initial draft for review	Compliance Department

Distribution list

No	Position / Title
1)	All TAM Capital Staff
2)	Board of Directors
3)	Audit Committee
4)	Compliance Department